



Correspondent Bulk AOT Program

PROGRAM OVERVIEW

For select customers, Flagstar will provide sellers with the opportunity to assign TBA trades against loans awarded during the standard bulk trade process. This enhanced offering allows sellers to maximize trade execution and maximize efficiency.

ELIGIBLE CORRESPONDENTS

Sellers must contact the Account Executive to request approval for inclusion in Bulk Assignment of Trade (AOT) program. Criteria under consideration will include:

- Meet requirements set forth for approval for standard/Non-AOT Bulk program
- Demonstrate no less than a 90% fill rate over the previous 6 months of production
- Maintain Star rating of 4 1/2 or higher

BULK AOT PROCESS FLOW

- Standard bid request including requested delivery days for bid and time bids are due is received via email addressed to both: flagstarbulkdesk@flagstar.com and flagstartradedesk@secondarytools.com
- All in loan level pricing is provided at *current* pricing at requested bid time
- Customer provides awarded loan information to Flagstar along with required AOT information
- Loan pricing and commitments will be provided to customer at AOT strike prices along with Tri-Party agreement to be completed by seller
- Customer receives trade confirmation(s) adjusted for AOT strike price
- Customer completes Tri-Party agreement and will automatically be returned to tradeassignments@flagstar.com
- Flagstar will register and lock awarded loans at negotiated trade pricing and provide Flagstar loan numbers back to customer in email

BULK AOT REQUIREMENTS

ACCEPTABLE ASSIGNMENT INSTRUMENTS

Flagstar only accepts the assignment of TBA securities without stipulations.

MINIMUM ASSIGNMENT AMOUNT

\$500,000 per Ticker, Coupon, and Settlement month. Multiple trades may be assigned using same Ticker, Coupon, and Settlement month however all trades are subject to the \$500,000 minimum.

TRADE ASSIGNMENT ALLOWANCES

The aggregate amount of all loans within each Ticker, Coupon, and Settlement month may rounded up or down to the nearest \$500,000 increment. For example, you may assign up to \$2.5M or a minimum assignment amount of \$500,000 in TBA trades against \$2.1M in awarded loan volume.

ASSIGNMENT OF TRADES NOT IN \$50,000 INCREMENTS

Assignments in non \$50,000 increments or exact dollar denominations is allowed.

ELIGIBLE LOAN PROGRAMS

FNMA, FHLMC, and GNMA II Fixed Rate programs only including high balance. ARM products, non-conforming loans, and GNMA I's are not eligible for assignment.

ASSIGNMENT OF TRADE WEIGHTED SECURITY PRICE

In all cases when an Assignment of Trade is not an exact match/equal to the loans awarded, an Assignment of Trade weighted price will be used in calculating loan pricing. A weighted average base price will be calculated using AOT strike price and amount assigned *versus* total loan amount awarded and current market pricing.

Example – assigning \$1,000,000 at a strike 101-16/32 against \$1,200,000 in awarded loans with a current market price of 102-4/32 would result in a 101 -19/32 trade weighted security price.

	<u>Amount</u>	<u>Strike</u>
Current Market	\$200,000	102-4/32
Assignment of Trade	\$1,000,000	101-16/32
Trade Total	\$1,200,000	101-19/32

LOAN PRICING

Final all-in loan pricing will consist of:

- Loan level price adjustments
- SRP (Service Released Premium)
- Assignment of Trade Weighted Security Price

REQUIRED INFORMATION NEEDED AT TIME OF TRADE CONSUMATION

Emails with loan award information should be submitted to flagstarbulkdesk@flagstar.com and include the following information:

- Seller loan numbers they wish to award
- Trade assignment specifics including ticker, coupon, settlement date, broker-dealer, original trade amount, assignment amount, original trade date, and original trade price

Security	Coupon	Actual Settle Date	Counter Party	Original	Assign Amount	Original Date	Original Price
UMBS30	3.5	6/13/2019	Daiwa	3,000,000	1,000,000	3/21/2019	100.953125
G230	4	6/20/2019	BMO	2,000,000	500,000	4/4/2019	101.671875

TRADE ASSIGNMENT DISCREPENCIES

All trade discrepancies must be resolved on same day or initial trade or be subject to pair off. There are no exceptions.

ACCEPTABLE ASSIGNMENT OF TRADE COUNTERPARTIES

Approved AOT Broker Dealers	
BofAML Securitas, Inc.	Fannie Mae
Bank Of New York	Goldman Sachs & Co. LLC
Barclays Capital PLC	Jefferies LLC
BMO Capital Markets	JP Morgan Chase Securities LLC
BNP, Paribas Securities Corp.	Mischler Financial Group, Inc.
BOK Financial Corporation	Mizuho Securities USA Inc.
Cantor Fitzgerald & Co	Morgan Stanley & Co. LLC

Approved AOT Broker Dealers	
Citigroup Global Markets, Inc.	Nomura Securities International, Inc.
Credit-Suisse Securities (USA) LLC	South Street Securities
Daiwa Capital Markets America Inc.	Wells Fargo Securities, LLC
ED&F Man Capital Markets Inc.	Multi-Bank Securities
Huntington	

AVAILABLE COMMITMENT PERIODS

Commitment period options are available from 2 to 30 days and will be chosen by the correspondent. The price of the bulk bid will vary by commitment period requested. A completed closed/salable loan package must be received within the chosen commitment period.

Assignment of Trades to Flagstar must allow for sufficient time for file delivery, loan review, and purchase all prior to trade instrument [Settlement Date](#).

TRADE DESK AVAILABILITY

The mandatory trade desk will be open 10:00 AM EST to 4:30 PM EST. In general, the trade desk follows the [SIFMA](#) holiday closing schedule.

PAIR OFF CALCULATION AND FEES

A Pair Off fee will only be assessed for one of the following two reasons:

- Failure to deliver the complete closed/salable loan package(s) by the commitment expiration date
 - Pair Off fees will be determined by comparing the Assignment of Trade weighted security price at time of commitment to the like MBS price the day (10:00 AM EST) after the commitment expiration date.
 - All final pricing determinations will be made by Flagstar.
- Loans that have been delivered within required commitment period, but did not meet Flagstar's guidelines for a purchasable loan product and a suitable loan was not substituted.
 - Pair Off fees will be determined by comparing the Assignment of Trade weighted security price at time of commitment to the like MBS price the day (10:00 AM EST) following the note/collateral is returned to the correspondent.
 - All final pricing determinations will be made by Flagstar.

Pair Off fee calculations will be determined by comparing the Assignment of Trade weighted security price to the like MBS price at the time of the applicable pair off date.

- If the MBS price on the pair off date is worse/lower than the original Assignment of Trade weighted security price (rates have increased), there will not be a Pair Off fee assessed.
- If the MBS price on the pair off date is better/higher than the original Assignment of Trade weighted security price (rates have decreased), Pair Off fee will be market movement multiplied by the unpurchased amount of the original commitment amount +/- the 2.00% trade tolerance.

LOANS PREVIOUSLY LOCKED AT FLAGSTAR

Loans previously locked as a best effort lock will not be eligible for inclusion into a bulk package unless the lock has been expired for > 60.